



Setting Up a Business Account

Setting up a dedicated bank account for your business is not always essential. However, it can be a sensible step, granting you access to useful banking services available only to business owners.

Understanding the benefits

Depending on your business type (see pp.32–33), you may be required to set up a business bank account that separates business finances from your own. A business account can offer advantages. Importantly, it allows you to clearly see how much money the business has available at any time and when payments have been made or received. Plus it makes it easier to manage regular business expenses, such as software, utilities, or travel costs. A dedicated account means that your business can collect

payments made by credit or debit cards as well as online, which customers may expect. You can also exchange foreign currencies more easily. An account allows your business to build up a credit history, which may help you raise finance in the future.

Considering options

As well as traditional banks, there are also financial technology (“fintech”) organizations (see below left) that provide a range of automated financial services. However, your choice will depend on many factors, such as whether your business makes mainly online consumer transactions, transactions with other businesses, or transactions in different currencies.

FINTECH

- **Fintech (financial technology)** developed as banking became increasingly digitalized. It provides services such as mobile payments.
- **Utilizing the technology** available on your smartphone, fintech has fewer overheads and offers cheaper options.
- **In regions such as Africa, Asia, and India**, where traditional banks can leave many smaller businesses at a disadvantage, fintech offers access to affordable payment services.
- **Start-up businesses** can use fintech to access finance from crowdfunding platforms rather than from traditional banks.

\$4,754bn
is an estimate of the value
of the worldwide mobile
payment market

Mobile payment outlook 2023, Alliedmarketresearch.com, 2020

Choosing and opening an account

When you set up a business account, you will need to provide documentation to prove who you are as well as details of the business. You need to be sure that the account meets your needs now and will continue to do so in the future. You need to consider the different services, products, and resources each account provider offers. Before committing yourself, ask these questions (see right):